

What Historically Turns the Three Macro Signals Favorable for Risk Assets — and Where July 2026 Sits

TL;DR

- **All three signals currently read unfavorable-to-neutral, and none is on a favorable trajectory.** Fed policy is on hold at a restrictive 3.50–3.75% with a hawkish bias under new Chair Kevin Warsh; 10-year real (TIPS) yields are ~2.23% and drifting *higher*; and while US domestic liquidity has quietly turned up (QT ended December 2025, M2 growing ~4.7% YoY), the broader global liquidity cycle peaked in Q3 2025 and is rolling over.
- **Historically, the single most reliable trigger that flips all three signals favorable is a growth/employment shock — a recession, credit event, or sharp unemployment rise — that both frightens the Fed into easing and pulls inflation down.** Disinflation back toward target is the necessary co-condition: the 1982 and 2009 launches show the Fed will only ease decisively once inflation is falling *and* the labor market or financial system is cracking.
- **What would have to change in 2026: inflation must resume falling toward ~2–2.5%, AND a labor-market or credit crack must force the Fed's hand.** The watch-list is the labor market (Sahm rule at ~0.47, just below the 0.50 recession trigger), core inflation trajectory, credit spreads (now near two-decade tights at ~2.6%), and the yield curve. History says the catalyst typically leads the three-signal turn by months, but the timing cannot be predicted.

Key Findings

1. The framework applies cleanly only to the ~70 years of modern data (1950s–2026). TIPS/real yields exist only from 1997; modern M2 begins 1959; explicit fed-funds targeting dates to the mid-1950s. Pre-1950s history (the Fed dates to 1913; the classical gold standard preceded it) is useful only qualitatively — it confirms that the *catalysts* for monetary easing have always been the same family of shocks (wars, depressions, deflation scares, banking panics), but the three-signal quantitative test cannot be run that far back.

2. Across the modern period there have been roughly a dozen distinct S&P 500 bull markets (Yardeni Research, defined as gains between 20%+ bear markets), the most important being: 1949–56 (+267%), 1957–61 (+86%), 1962–66 (+80%), 1970–73 (+74%), 1974–80 (+126%), 1982–87 (+229%), 1987–2000 (+582%), 2002–07 (+102%), 2009–20 (+401%), 2020–22 (+114%), and the current run that began 12 October 2022. (yardeni)

3. The recurring trigger, ranked by reliability:

- **(A) Most reliable — a recession or growth/employment shock that forces Fed easing** while inflation is simultaneously falling. This describes 1982, 2009, and (compressed) 2020. When the Fed eases into a *soft landing* rather than a recession, forward returns are strongest; when it eases *into* a recession, initial rallies fade.

- **(B) Disinflation to/below the comfort zone** — the enabling co-condition. The Fed will not sustain easing while inflation is high and rising, no matter how weak growth is (the core problem today).
- **(C) Financial crises / credit events** (1987 crash, 2008 GFC, 2020 COVID) reliably trigger emergency easing and liquidity injections, but only launch durable bull markets when inflation is low enough to permit sustained accommodation.
- **(D) Least reliable / regime-specific — QE and balance-sheet expansion.** A post-2008 phenomenon; it powerfully suppressed real yields and expanded liquidity in 2009–2021 but is not a general historical law.

4. The numbers on forward returns. Per Northern Trust, "Since 1980, there have been a total of 11 rate cut cycles. In the 12 months following the start of a rate cut cycle, equity returns as measured by the S&P 500 Index averaged 14.1%." But the dispersion is enormous and hinges entirely on recession vs. soft landing. LPL Research (via Investing.com) quantifies the split precisely: "When there was no recession near or during the rate cut... the average 12-month return for the S&P 500 increased to 18%, with 21 out of 21 periods producing positive results. When a recession overlapped near or during a rate cut, the market posted an average loss of 2.7%... with only 25% of periods generating a gain." Recession-coincident cutting cycles (1973, 1981, 2001, 2007) produced double-digit losses; the 1982 and 1995 soft-landing/disinflation cases produced 30%+ gains. Falling real yields specifically are a documented tailwind: the Federal Reserve's FEDS paper A *Stock Return Decomposition Using Observables* (2022) finds that "for year 2020 as a whole, falling real yields explain why the market ended up with a large positive 15% real capital gain despite the recovery still being nascent and uncertain." Advisor Perspectives + 2

5. Where July 2026 sits on each signal:

Signal	Reading	Direction	Verdict
Global liquidity	M2 ~\$22.8T (+4.7% YoY, fastest since 2022); QT ended Dec 2025; Fed buying ~\$40B/mo T-bills; but global liquidity cycle peaked Q3 2025	Domestic up, global rolling over	Neutral / mixed
10-yr real yield (TIPS)	~2.23%	Rising over 3–6 months; well above 10-yr average	Unfavorable
Fed policy stance	3.50–3.75%, on hold; hawkish bias; dot plot shows possible <i>hikes</i> ; no easing guidance	Not easing	Unfavorable

Details

The historical pattern in depth

1982 — the archetype of a favorable turn. Volcker's Fed began cutting in July–August 1982 even with inflation still near 7%, because two things had happened: (1) inflation had collapsed from ~14.8% (March 1980) toward ~5% and inflation *expectations* had broken, and (2) the economy was in a severe recession (unemployment hit ~10.8%) with acute financial stress (the Penn Square Bank failure, August 1982). The Fed cut the discount rate six times in H2 1982 (12% → 8.5%). Long rates fell, real yields fell, liquidity expanded — and the S&P launched a five-year, +229% bull market. **The lesson: the trigger was a recession + financial stress, but the permission was disinflation.** [Investing.com](#)

2009 — the QE-era archetype. The Fed cut from 5.25% (September 2007) to near zero by December 2008 and launched QE1 (announced Nov 2008, expanded March 2009), buying \$1.75T of Treasuries and MBS. The scale of the rate signal was large: per Gagnon, Raskin, Remache & Sack (2011), "we summed the movements in the yield on 10-year Treasury securities on eight days with Federal Reserve announcements that contained news about QE1 to get a total decline of 91 basis points." Inflation was collapsing (briefly negative in 2009), giving the Fed unlimited room. Real yields ground lower for a decade. Result: a +401% bull market, the longest on record. **Trigger: a financial crisis + deflation scare; enabled by near-zero inflation.** [American Deposits](#) [PIIE](#)

2020 — the compressed version. COVID triggered an instant crash; the Fed cut to zero and relaunched QE within weeks; real yields went deeply negative; M2 exploded. A +114% bull market ran in under two years. Again: shock → emergency easing → collapsing real yields → liquidity surge, all permitted by (initially) low inflation.

The counter-examples that define the boundary. Easing cycles that began *while a recession was underway and could not be stopped* — 1973–74, 2001, 2007 — saw equities fall despite rate cuts, because earnings fell faster than discount rates. This is the central caveat: "the Fed is cutting" is not itself bullish. *Why* it cuts, and whether inflation permits sustained accommodation, determines everything.

Separating recurring triggers from coincidence

- **Recurring / necessary:** (1) a catalyst that forces the Fed's hand (recession, unemployment spike, credit event), and (2) inflation low or falling enough to permit sustained easing. Both have been present at every durable bull-market launch in the modern data.
- **Regime-specific / not a law:** large-scale QE and balance-sheet expansion (post-2008 only). The relationship between "Fed policy" and "liquidity" itself changed after 2008 — pre-2008 the Fed worked mainly through the funds rate; post-2008 the balance sheet became the dominant liquidity lever. This is a genuine regime change that limits how mechanically the pre-2008 and post-2008 episodes can be compared.

- **Coincidence:** specific asset-class winners (tech in the 1990s and 2010s, etc.) reflect the era, not the macro trigger.

Today's environment, signal by signal

Fed policy — UNFAVORABLE. The FOMC held at 3.50–3.75% at Kevin Warsh's first meeting (17 June 2026). Warsh struck an explicitly hawkish, "price-stability-first" tone, shortened the statement, removed forward guidance, declined to submit a dot, and the June dot plot showed a majority of the 18 other members expecting rates to hold or *rise* in 2026 — nine signaled support for higher rates, six of those for two quarter-point increases. Markets are pricing "higher-for-longer" near 4%. This is the opposite of an easing stance. (Note the tension worth watching: Warsh had earlier been a rate-cut advocate and was installed amid White House pressure for lower rates — a source of genuine uncertainty about the policy path.) [Chase](#) [U.S. Bank](#)

Real yields — UNFAVORABLE. The 10-year TIPS yield is ~2.23% (FRED DFII10, mid-June 2026; ~2.25% on 2 July per Trading Economics), well above its 10-year average and *rising* over the trailing 3–6 months (+2.8% over 3 months, +7.7% over 12 months). For the signal to turn favorable, real yields need to fall materially — which typically requires either falling inflation expectations, a flight to safety, or renewed long-duration QE. [MacroRadar](#)

Liquidity — NEUTRAL / MIXED, the one signal with a favorable undercurrent. The Fed ended QT on 1 December 2025 and began "reserve management purchases" of ~\$40B/month in Treasury bills (announced by the NY Fed on 10 December 2025), lifting total assets to ~\$6.74T (H.4.1, 24 June 2026). M2 is at a record ~\$22.8T (April 2026), growing ~4.7% YoY — the fastest since 2022. This is a genuine domestic easing of the monetary plumbing. BUT two caveats sharply qualify it: (1) the Fed insists this is *reserve management*, *not QE* — it targets short bills, not long duration, so it does *not* mechanically push real yields down (and analysts at BofA and Morgan Stanley dispute this, calling the liquidity effect "QE-like"); and (2) Michael Howell's (CrossBorder Capital) global-liquidity framework holds that the ~65-month global liquidity cycle peaked in Q3 2025 (near \$188.8T) and is in a downswing likely lasting into 2027, with a 2026–2028 debt-refinancing wall absorbing liquidity. [Federal Reserve + 2](#)

The unusual feature of today: sticky inflation with a resilient-but-cooling labor market

The historically standard sequence — recession/shock → disinflation → Fed eases → real yields fall → liquidity expands → bull market — is *blocked at the disinflation step*. Headline CPI was ~4.2% YoY in May 2026 (energy/Iran-war driven), core CPI ~2.9%, and core PCE had risen to ~3.3% by April 2026. Inflation is above target and, at the headline, re-accelerating. That is precisely why the Fed cannot ease even as growth signals soften. Meanwhile the June 2026 jobs report showed just +57k payrolls (below the ~115k consensus), with April and May revised down a combined 74k, and labor-force participation falling to 61.5% — the lowest since March 2021 and, ex-COVID, the lowest since 1976. A "higher-for-longer with sticky inflation" setup is historically unusual — the closest analog is the mid-1960s (1966), when fiscal expansion extended the cycle and the Fed

navigated a yield-curve inversion without recession, but that period ended in the Great Inflation.

U.S. Bank + 2

Recommendations (what to watch, staged)

Stage 1 — Pre-conditions (watch now). Track whether the *permission slip* (disinflation) is forming:

- **Core PCE / core CPI trajectory.** The threshold that matters: core inflation resuming a clear glide toward ~2–2.5%. Until this turns, the Fed stays boxed in regardless of growth. Currently moving the *wrong* way (core PCE ~3.3%).
- **Inflation expectations** (breakevens, Michigan/NY Fed surveys). A break lower here, as in 1982, is the classic green light.

Stage 2 — The catalyst (watch for the crack). History says the Fed eases decisively only when forced. Watch:

- **Labor market — the highest-signal indicator.** Per WhatIsARecession.com's FRED-based tracking, the Sahm rule was 0.47 as of April 2026 — "just below the 0.50 threshold... the closest to the trigger since the 2020 recession." The trigger fires when "the three-month moving average of the national unemployment rate (U3) rises by 0.50 percentage points or more relative to the minimum of the three-month averages from the previous 12 months" (FRED/Claudia Sahm). A Sahm-rule trigger, a sustained rise in unemployment (now 4.2%), or initial jobless claims breaking above the recessionary ~300k threshold (currently 224k, "historically healthy" but rising as the labor market softens, per WhatIsARecession.com) would be the classic forcing event. (WhatIsARecession + 4)
- **Credit spreads.** ICE BofA US High Yield option-adjusted spread was ~2.63% in June 2026 (near two-decade tights). A sharp *widening* would signal a credit event of the kind that has repeatedly forced emergency easing (1987, 2008, 2020). Isolated 2025–26 defaults (First Brands, Tricolor) are worth monitoring for contagion.
- **Yield curve.** A bull-steepening driven by the front end falling (rate-cut expectations) — rather than the long end rising — would corroborate that easing is coming.

Stage 3 — Confirmation (the three signals turn). Favorable conditions are confirmed when: the Fed shifts to actual cuts *with* falling inflation (soft-landing easing, the 1995/1982-style setup, historically the best outcome — LPL's 18% average / 21-of-21 positive record); the 10-year TIPS yield breaks decisively lower; and liquidity (both Fed balance sheet and global) is expanding in tandem.

What would change the recommendation: If inflation reaccelerates further (another energy shock, tariff pass-through), the favorable turn moves *further* away and even a growth scare may not free the Fed — a genuine stagflation risk. Conversely, if core inflation surprises sharply lower

while the labor market cracks, all three signals could turn favorable faster than the base case, and the historical playbook favors adding risk into the first cuts.

Caveats and limitations

- **Small sample.** There are only ~10-12 true bull-market cycles in the modern data and only ~2 (post-1997) full episodes with actual TIPS real-yield data (2009, 2020). Any "average" is fragile; dispersion dominates.
- **Correlation vs. causation.** The three signals co-move with each other and with the business cycle; disentangling which "causes" the bull market is not cleanly possible. Fed policy works *through* liquidity and real yields, so the three are not independent.
- **Regime change is real.** The pre-2008 (rate-centric) and post-2008 (balance-sheet-centric) regimes differ enough that mechanically pooling them is hazardous. The 2022-24 yield-curve inversion and Sahm-rule near-triggers also produced *false positives*, a reminder that even the best indicators have failed recently. [\(Britannica\)](#)
- **Timing is genuinely unpredictable.** History suggests catalysts lead the signal-turn by a variable number of months, and the NBER often dates recessions with a long lag (four to 21 months). This report deliberately identifies *what must shift*, not *when*. [\(Wikipedia\)](#)
- **The "stealth QE" debate is unresolved.** Whether the Fed's current T-bill purchases are "reserve management" or de facto easing is contested; it matters because true QE suppresses real yields (favorable) while pure reserve management does not.
- **Source caution.** Some liquidity commentary (e.g., Mises Institute) uses non-standard money measures and interpretive labels; forward-looking liquidity-cycle calls (Howell) are model-based projections, not facts. Price-target and "this rally has room to run" commentary was disregarded as promotional.